PROJECT TETON

TCN AI: Real, or Slides?

TO Benefit Street Partners, Investment Committee
FROM K. Slowinski, Independent AI & Technology Advisor
RE TCN (Project Teton): lender view of the AI story
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MY TAKE

TCN is a solid calling platform. It has no AI moat, and it's behind on AI. The "AI + compliance moat" the CIP and the Palo Alto VDD are selling is mostly slides. Their AI agents had **zero customers and zero revenue at the end of 2025** (first customer April 2026). Underwrite the loan on the existing calling business. The AI story is slideware; don't credit it. And I'd flag them as at risk of AI headwinds, because they are far behind today.

WHAT'S REAL (UNDERWRITE THIS)

- **~$60M ARR, ~37% 2026E growth, ~20-24% EBITDA.** Bootstrapped, clears Rule of 40. (Their "Rule of 60" is a 2026 projection, not a trailing number.) This is a good business.
- Sticky-ish. ~98% logo retention and a dialer that's hard to rip out. But they also report 81% gross revenue retention, and those two numbers don't fit together. That's a management question.
- **Consumption pricing, confirmed in their CIP.** Nearly everything bills per minute or per message. AI Voice is priced at $0.20-0.50/min vs ~$0.05 human, so the AI plan is trading phone minutes for AI minutes at 4-10x. On their pipes, they make more per minute. Off their pipes, they make nothing.

WHAT'S HYPE (DON'T LEND AGAINST IT)

- **The "AI moat" is slides.** Agentic AI had **0 customers and $0** at end-2025 (first customer April 2026, ~$1M *planned* for the year). They own one real in-house model, SmartAMD, and it just detects answering machines. The rest of the AI is rented (GPT, Gemini, Whisper).
- **They're behind, and the new players are built differently.** Decagon, Sierra and Skit.ai are agent-first. TCN is bolting bots onto a dialer.
- **The "compliance moat" is table stakes.** Everyone sells it: LiveVox, Five9, Convoso, and AI-native Skit.ai. You can buy it off the shelf (DNC.com, Gryphon). TCN's compliance depth is a real but modest edge, and it's a vertical/legal edge, not an AI one.
- The Palo Alto VDD rates almost every finding a perfect score. That's a second sales deck, not diligence.
- **The AI won't set itself up.** Standing up agents takes forward-deployed engineering. Sierra and Decagon charge $50-200K and take 8-16 weeks. TCN's mid-market shops can't configure this alone, and TCN runs lean on services. So AI revenue is services-gated, not clean SaaS.

THE REAL RISK

The new AI players can be the phone line themselves. This is already happening. Skit.ai already sells **its own telephony** and runs the whole collections call today. If a customer points one of them at their numbers, TCN is just pipes. Nobody has stress-tested this, and it's the question I'd want answered first.

WHAT I'D DO

- Underwrite the existing business, not the future one: switching costs, consumption pricing, last independent standing after LiveVox went to NICE. Everything past that is slideware.
- **Treat AI as a headwind on this credit, not upside.** They're far behind, and the AI-natives can pull call volume out of the base during the loan term. Monitor dial-path volume and displacement. One question decides it: do they stay in the call path when AI agents replace the seats?

K. Slowinski
Independent AI & Technology Advisor